



SKY HIGH

Financial Management

GST/HST Compliance Checklist

Introduction

GST/HST compliance is an important responsibility for many Canadian businesses. Registered businesses must properly collect tax, maintain supporting records, claim eligible Input Tax Credits (ITCs), file returns, and remit amounts owing to the Canada Revenue Agency (CRA).

This checklist helps business owners organize their GST/HST responsibilities and reduce the risk of errors, penalties, and missed credits.

1. Determine GST/HST Registration Requirements

- ☐ Review whether your business must register for GST/HST
- ☐ Determine if you exceed the small supplier threshold
- ☐ Consider if voluntary registration may be beneficial
- ☐ Confirm your GST/HST account information:
 - Business Number (BN)
 - GST/HST program account number
 - Effective registration date

2. Maintain Proper Sales Records

- ☐ Keep records of taxable sales:
 - Customer invoices
 - Sales receipts
 - Contracts
 - Payment records
- ☐ Ensure invoices include required GST information:
 - Business name
 - GST/HST registration number
 - Tax amount charged
 - Total invoice amount
- ☐ Verify GST/HST collected is recorded correctly in your accounting system.

3. Track GST/HST Paid on Business Exp.

- ☐ Maintain purchase documentation:
 - Supplier invoices
 - Receipts
 - Expense records
- ☐ Identify eligible Input Tax Credits (ITCs) for:
 - Office expenses
 - Software subscriptions
 - Equipment purchases
 - Professional fees
 - Business supplies
 - Other eligible expenses
- ☐ Confirm receipts contain sufficient information to sup-

port ITC claims.

4. Reconcile GST/HST Accounts Regularly

- ☐ Review GST/HST collected
- ☐ Review GST/HST paid
- ☐ Reconcile GST/HST accounts with accounting records
- ☐ Investigate differences between:
 - Sales tax collected
 - Sales tax paid
 - Amount reported on GST/HST returns
- ☐ Correct bookkeeping errors before filing.

5. Prepare GST/HST Returns

- ☐ Confirm filing frequency:
 - Annual
 - Quarterly
 - Monthly
- ☐ Gather:
 - Sales reports
 - Expense reports
 - GST/HST summaries
 - Accounting records
- ☐ Review:
 - Total GST/HST collected
 - Total ITCs claimed
 - Net tax owing or refund
- ☐ File returns accurately and on time.

6. Remit GST/HST Amounts Owing

- ☐ Confirm payment deadlines
- ☐ Pay amounts owing through:
 - CRA My Business Account
 - Online banking
 - Other approved payment methods
- ☐ Keep payment confirmations
- ☐ Avoid late payments that may result in penalties and interest.

7. Review Common GST/HST Issues

- ☐ Confirm correct tax rates are applied
- ☐ Review whether sales are:
 - Taxable
 - Zero-rated
 - Exempt
- ☐ Review transactions involving:
 - Online sales
 - Out-of-province customers
 - Foreign customers
 - Digital services
- ☐ Confirm proper treatment of special transactions.

8. Review Business Purchases and ITC Eligibility

- ☐ Before claiming ITCs, confirm:
 - ☐ Expense is for business purposes
 - ☐ GST/HST was actually paid
 - ☐ Supporting documents are available
 - ☐ Claim is within the allowable time limit
 - ☐ Personal expenses are excluded

9. Maintain GST/HST Records

- ☐ Keep:
 - GST/HST returns
 - Invoices
 - Receipts
 - Accounting reports
 - CRA correspondence
 - Supporting calculations
- ☐ Store records securely
- ☐ Maintain records according to CRA retention requirements.

10. Year-End GST/HST Review

- ☐ Review GST/HST account before year-end
- ☐ Confirm all transactions are recorded
- ☐ Check for missing receipts
- ☐ Review outstanding GST/HST balances
- ☐ Confirm accounting records agree with filed returns

11. GST/HST for Different Business Situations

- ☐ Review GST/HST treatment for:
 - Corporations
 - Sole proprietorships
 - Partnerships

- Rental activities
- E-commerce businesses
- Cross-border transactions
- ☐ Obtain professional advice when transactions are complex.

12. Common GST/HST Mistakes to Avoid

- ☐ Charging GST/HST without proper registration
- ☐ Forgetting to collect GST/HST on taxable sales
- ☐ Claiming ITCs without proper receipts
- ☐ Missing GST/HST filing deadlines
- ☐ Recording GST/HST incorrectly in accounting software
- ☐ Mixing personal and business expenses
- ☐ Ignoring GST/HST account balances

13. GST/HST Document Checklist

Before preparing a GST/HST return, gather:

- ☐ Sales invoices
- ☐ Purchase invoices
- ☐ Expense receipts
- ☐ Bank statements
- ☐ Credit card statements
- ☐ GST/HST reports from accounting software
- ☐ Previous GST/HST returns
- ☐ CRA correspondence
- ☐ Import/export documents (if applicable)

14. GST/HST Monthly Routine

During the Month

- Save all sales invoices and receipts
- Record GST/HST collected and paid

Before Filing

- Reconcile GST/HST accounts
- Review ITC documentation
- Confirm filing deadline

After Filing

- Keep confirmation
- Record payment/refund
- Save filed return

Final Reminder

Proper GST/HST management helps businesses remain compliant, improve cash flow management, and avoid costly mistakes. Keeping accurate records throughout the year makes GST/HST filing faster, easier, and more reliable.



Sky High Financial Management

Bookkeeping • Accounting • Payroll • Tax Compliance • Financial Advisory

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